

EXAMINERS' COMMENTS ON THE PERFORMANCE OF THE EXAMINEES

PAPER – 4: COST AND MANAGEMENT ACCOUNTING

Specific Comments

Question 1.(a) This numerical question was based Economic Order Quantity (EOQ), Re-order level and advise whether quantity discount offer could be accepted. **Above Average** performance was observed in this question.

(b) This numerical question was based on Joint-Product and By-Product Costing. Examinees were asked to apportion the joint costs using the Physical unit method and Contribution method. Examinees were also required to assess the impact on profitability if Product B is further processed. Overall performance of the examinees was **Average**.

(c) It is a numerical question based on Budgetary Control and examinees are required to calculate the actual hours worked, standard hours for actual output, activity ratio and standard capacity usage ratio from the information furnished in the question. The overall performance of the examinees was **Below Average**.

Question 2.(a) This numerical question was based on Activity Based Costing. Examinees were asked to evaluate the profitability of its customers using the concept of Activity Based Costing. Overall performance of the examinees was **Average**.

(b) This numerical question was based on Service Costing. Examinees were asked to calculate the net operating income per flight for the airlines company and also to find out whether proposal of reduction in fare should be implemented by the company. Most of the examinees performed well, hence the overall performance was **Above Average**.

Question 3.(a) This numerical question was based on Budgets and Budgetary Control. Examinees were asked to calculate the profits of the company at different capacity levels. Most of the examinees performed well and an **Above Average** performance was observed.

(b) This numerical question was based on reconciliation of profit as per cost accounts with the profit as per financial accounts based on the information

furnished. Most of the examinees have attempted this question correctly and overall performance of the examinees was **Good**.

Question 4.(a) This numerical question was based on Process and Operation Costing. Where examinees were required to prepare process accounts, abnormal loss account, abnormal gain account and costing profit and loss account. Overall performance of the examinees was **Below Average**.

(b) In this numerical question examinees were asked to calculate the amount of under absorption of production overheads during the year and show the treatment of under -absorption of production overheads in cost accounts. Most of the examinees performed well, hence the overall performance was **Good**.

Question 5.(a) This numerical question was based on calculation of profit lost due to labour turnover. The overall performance of the examinees was **Average**.

(b) This was a numerical question related to different aspects of Marginal Costing. Examinees were required to calculate the Break-even sales and calculate sales volume required to earn a certain level of profit. Overall performance of the examinees was **Average**.

(c) This theoretical question was based on Feedback Control and Feedforward Control system of budgetary control. Overall performance of the examinees was **Below Average**.

Question 6.(a) This was a theoretical question to distinguish between cost control and cost reduction. Overall performance of the examinees was **Below Average**.

(b) In this theoretical question examinees were required to distinguish between Waste and Scrap and discuss the treatment of normal and abnormal scrap in Cost Accounts. Overall performance of the examinees was **Below Average**.

(c) This theoretical question required examinees to describe Unit Costing and Batch Costing and give examples of industries for each method where these are used. Overall performance of the examinees was **Below Average**.

OR

Internal Choice Question

This theoretical question requires the examinees to describe idle time and explain the treatment of idle time in different situations. Overall performance of the examinees was **Below Average**.

PAPER – 5: AUDITING AND ETHICS**Specific Comments**

Question 1.(a) Matters to be considered while preparing an Audit Programme and whether same audit programme can be used for two different entities: Examinees have written the conclusion of the answer correctly but could not explain the matters generally considered while preparing an audit program.

(c) Reporting responsibilities under Companies Act, 2013 for Internal Financial Control: The examinees failed to understand the requirement of question and answered in terms of internal control instead of internal financial controls. Many examinees were not aware about the responsibilities of Independent Directors and Audit Committee in relation to internal financial controls.

Question 2.(a) Inquires of Management and Others within the Entity: Majority of examinees wrote general points regarding types of inquiries from Marketing personnel and Information system personnel rather than specific points.

(c) Inherent limitations of audit: Some of the examinees mentioned inherent limitations of audit in bullet points only without explaining the same.

(d) Significant factors in directing the engagement team's efforts: Majority of the examinees could write partial answer by mentioning one or two factors correctly, while rest of them mentioned general points and not specific factors relating to the question.

Question 3.(a) Audit Planning: Majority of the examinees have written general points on audit planning instead of focusing on aspects prior to the auditor's identification and assessment of the risks of material misstatement.

(b) Written Representation: Examinees were able to write the concept of period of written representation to be given by the new management, however, majority of examinees could not relate to the concept that the date of management written representation should be before the date of auditor's report.

(c) Manual elements vs. automated elements in entity's internal control: Majority of examinees could only cover the area of judgement and discretion where manual elements in internal control are suitable but failed to cover other specific points.

(d) Using the Internal Audit Function: Instead of focusing on coordination between the external auditor and the internal audit function, examinees have discussed on the aspects of evaluation of the work of the internal auditor and relying on the work of the internal auditor.

Question 4.(a) Factors to select specific items and specific items to be selected from a population: Most of the examinees wrote about different methods/types of Sampling (like random sampling, stratified sampling etc.) instead of writing about factors for selecting specific items and specific items to be selected for testing from the population.

(b) Audit Procedures to obtain sufficient Audit evidence that the work of other Auditors is adequate: The examinee concentrated more on evaluation of the work of other auditor rather than writing about audit procedures required to obtain sufficient audit evidence that the work of other auditors is adequate for the principal auditor.

(c) Disclosure requirements as per the Companies Act, 2013: Majority of the examinees had no idea about the disclosure requirements as per Companies Act, 2013 with regard to loans given to Promoter, Director, KMP and the Related Party and mentioned points like whether loans are secured or not, whether proper interest has been charged etc.

(d) Analytical Procedures: Majority of examinees wrote about different types of Analytical Procedures such a Reasonableness Test, Structural Modelling rather than writing specific Analytical Procedures required with regard to Purchases.

Question 5.(b) Examples of costs that are not costs of an item of PPE:

Many examinees mentioned incorrect examples such as depreciation, borrowing cost etc.

(d) Reporting requirements of a Nidhi Company under CARO 2020:

Examinees have explained the three requirements of the relevant clause but could not cover the correct parameters of ratio and percentage as prescribed under CARO 2020 and also failed to cover the point of default of interest and principal repayment.

Question 6.(a) Responsibilities of engagement partner for engagement quality control review as per SA 220:

Majority of examinees focused on the qualities of the engagement partner like independence, leadership quality and competence etc. rather than writing about responsibilities of engagement partner for engagement quality control review.

Alternative

(a) Corpus Contribution and Revolving Fund (For Non-Governmental Organisations)

A few examinees could refer corpus contribution as capital contribution and failed to explain the concept of revolving fund. Most of the examinees incorrectly related the meaning of terms with utilisation of funds for specific and general use respectively.

(b) Prudential norms (Asset Classification and Income Recognition) for loans guaranteed by Government: Some of the examinees could not distinguish between advances guaranteed by the State government and Central government. They also failed to mention the concept of invocation of government guarantee in case of Central Government advances.

(c) Documentation regarding misstatements identified during audit: Majority of the examinees mentioned about the audit procedures to be undertaken on identification of the misstatements rather than audit documentation required for the misstatements.

(d) Finance Lease as per AS 19: Examinees were able to correctly identify the kind of lease and its taxation benefits. However, the ownership status, that is, the option to buy the asset at the end of the finance lease term was not correctly mentioned by few examinees.

PAPER – 6: FINANCIAL MANAGEMENT & STRATEGIC MANAGEMENT**SECTION A – FINANCIAL MANAGEMENT****Specific Comments**

Question 1.(a) This was a numerical question on Calculations of ratios. Most of the examinees could not calculate the gross profit ratio correctly. Hence, overall performance of the examinees was **Below Average**.

(b) This was a numerical question on Leverage and Change in EPS under two different scenarios. Many examinees performed very well in this question. The performance of the examinees was **Good**.

(c) This was a numerical question on Management of Receivables - rate of effective cost of factoring. Most of the examinees could not calculate the interest savings due to reduction in average collection period and interest cost on advance from the factor correctly and hence could not arrive at the final answer. Overall performance was **Below Average**.

Question 2.(a) This was a numerical question based on calculation of cost of equity share capital, preference share capital, debentures, retained earnings and term loan. Most of the examinees could not calculate the share redemption value required for calculation of cost of debentures correctly. Overall performance of the examinees was **Above Average**.

(b) This was a numerical question based on Arbitrage process of Capital Structure. Overall performance of the examinees was **Average**.

Question 3.(a) This was a numerical question based on Replacement decision under Capital Budgeting. Most of the examinees could not calculate the incremental depreciation correctly and hence failed to arrive at incremental CFAT. Hence, overall performance of the examinees was **Poor**.

(b) In this numerical question, examinees were required to calculate the Intrinsic value of share using Dividend discount model. Most of the examinees failed to apply correct formula of dividend discount model. Overall performance of the examinees was **Below Average**.

Question 4.(a) This was a theoretical question where examinees were required to state whether the given statements were true or false with appropriate reasons. Overall performance of the examinees was **Good**.

(b) In this theoretical question, examinees were required to explain some of the forms of bank credit. Most of the examinees could not explain the different forms of bank credit properly. Performance of the examinees was **Average**.

(c) In this theoretical question, examinees were asked to discuss the relevance of Payback reciprocal in capital budgeting decisions. Most of the examinees did not answer properly and hence, the performance of the examinees was **poor**.

OR

(c) This was a theoretical question based on the features of crowd funding. Performance of the examinees was **Poor**.

SECTION – B: STRATEGIC MANAGEMENT

Specific Comments

Question 5.(a) The performance was above average as many examinees were able to identify the McKinsey 7S Model correctly and write the elements. However, they struggled to adequately explain the limitations of the model.

(b) The performance was average, as the examinees correctly identified the strategic level but were unable to effectively connect the benefits of strategic management to the given case.

(c) Performance was below average. Examinees were not able to provide expected answers as they lacked proper knowledge of the concept. The answers given by them were very vague. Most of the examinees were not able to explain the benefits of interaction with the business environment.

Question 6.(a) Most of the examinees wrote good answers, demonstrating sufficient knowledge to effectively support their disagreement with the statement.

(b) The performance was below average as the examinees couldn't attempt this question on correct lines due to lack of conceptual clarity of as how organizations can effectively manage strategic uncertainties in a rapidly changing business environment.

Question 7.(a) The performance was good as the examinees were able to clearly explain the key characteristics of business products.

(b) The performance was average as many examinees were able to explain the significance of the mission statement but not in a completely satisfactory manner.

Question 8.(a) The performance was average as many examinees incorrectly explained channel analysis and provided only brief descriptions of the different types of channels.

(b) The overall performance of the examinees was below average in the first option, as many were unable to clearly differentiate between forward and backward integration. However, in the second option, the strategic group mapping tool was correctly identified, and the procedure for using the tool was accurately described, resulting in a good performance.